

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

COMPLAINANTS' STATUS REPORT

Complainants herein submit this Status Report to make the Commission aware of changes in status regarding the above captioned matter. As of the time of this writing there have been several significant developments which have occurred since complainants' last Status Report docketed on July 19, 2018 (Document 188).

The Commission may recall that this case began as a relatively simple civil matter against respondents for violations of the Shipping Act of 1984 with regard to four (4) automobiles valued at approximately \$80K in total. The status of this matter has changed in that respondents' criminal activity before this Commission has now been fully exposed, and as set forth below includes years of lies, witness tampering and perjury by respondents and their counsel, as well as the proffering of false and fabricated documents by respondents and their counsel, resulting in

almost two-hundred (200) filings on the docket in this (relatively simple) matter. This unprecedented, unforgivable and inexcusable waste of the Commission's scant resources is set forth in detail below for the Commission's consideration in light of: (1) the misconduct of respondents and their counsel described herein; and (2) the fact that in the Initial Decision, the ALJ had relied upon documents and testimony under oath now admitted to have been the product of witness tampering.

The Commission may recall that on March 10, 2017, complainants filed a Motion for an Enlargement of Time to File Exceptions in this matter (Document 154) wherein complainants explained that their request for enlargement of time is based upon complainants' good faith belief that discovery in both the civil and criminal matters involving Kapustin will result in the production of documents, testimony and other evidence (and findings of fact by the Court) which will establish that: (1) complainants herein were indeed the ultimate consignees for the automobiles which form the basis for complainants' claims herein; (2) the documents proffered by respondents herein in support of dismissal and which were relied upon by the Presiding Officer in the ID were false and fraudulent; and (3) that the Commission has jurisdiction over the Complaint herein. As set forth below, discovery in both the civil and criminal matters involving Kapustin has resulted in the production of documents, testimony and other evidence which are relevant and material for the Commission on the aforesaid three (3) issues.

The Commission may additionally recall, by Status Report of July 19, 2018, the issue of non-party, Sergey Kapustin ("Kapustin"), who previously sought, *inter alia* to 1) intervene in this matter; 2) have complainants' counsel 'disqualified' from representing the complainants herein; 3) to strike and/or 'seal' certain filings and documents in this matter; and 4) generally interfere with the orderly and expeditious litigation of this matter. The Commission may further recall that Kapustin is a defendant in an ongoing Federal litigation in the U.S. District Court for the District of New Jersey, captioned as *Ardak Akishev, et al. v. Sergey Kapustin, et al.*, U.S.D.C.

– D.N.J. Docket No.: 13-cv-07152, and that he is also a defendant in the criminal proceeding initiated by the U.S. Department of Justice, captioned as *United States of America v. Sergey Kapustin*, U.S.D.C. – D.N.J. Docket No.: 2:18-cr-00135-SDW. Recent developments in those proceedings are addressed for the Commission’s reference, below.

The Commission may further recall, by Status Report of July 19, 2018, that complainants previously brought to the Commission’s attention:

- (1) The procedural history in the matter of *Akishev*, *supra*, as may be relevant for the Commission on the issue of Kapustin having reassigned any cross-claims he may have had in that lawsuit against EUL and Hitrinov, as well as the anticipated production of documents and testimony by respondents herein on the issues of:
 - (a) any investment agreements or financial arrangements with the Empire Defendants; and
 - (b) any arrangements with the Empire Defendants related to the shipment, storage, and disposal of the cars sold to victims of defendants’ fraud;
- (2) The criminal proceeding involving Kapustin and previously mentioned in Complainants’ prior Status Reports of January 15, 2017 (Document 142) and March 14, 2018 (Document 186) where it was explained in the Status Reports that Kapustin used Hitrinov’s company to ship certain vehicles, the purchase and sale of which were the *res gestae* of the criminal Complaint, and that the transactions at issue in said case were the same transactions at issue in the instant case now pending before the Commission.
- (3) Complainants’ anticipation that Kapustin’s plea deal would involve cooperation with the authorities and disclosure of information that may be relevant and necessary for this Commission’s Final Decision, which is currently due on January 16, 2019; and
- (4) Complainants suspicion that Kapustin’s intervention in this matter, together with the documents and testimony proffered either directly by him (and relied upon by the ALJ in the Initial Decision) and/or by respondents were the product of witness tampering.

The Commission may also recall that on July 25, 2018, respondents by their counsel docketed a response to complainants’ Status Report of July 19, 2018. The instant Status Report is neither a “response” to respondents’ “response” of July 25, 2018, nor is this Status Report a “reply”, “sur-reply”, “unauthorized motion”, “who knows what” or any other title that we

anticipate respondents counsel will undoubtedly see fit bestow upon it, however, to the extent that the information set forth herein directly contradicts or is relevant to statements and arguments in respondents' July 25, 2018 filing, we have the utmost faith that the Commission will 'get the point' regarding this information.¹

As to the criminal matter involving Kapustin, it would appear that he has continued to cooperate with the authorities and that part of that cooperation involved his giving of true and accurate testimony under oath in the matter of Akishev, *supra*, regarding his business dealings with the respondents (and specifically with regard to the automobiles at issue herein), as well as the facts and circumstances surrounding respondents having engaged in witness tampering by first offering Kapustin bribes to give false testimony and sign all papers presented by him in this and other matters, and then by threatening the lives of his family if he refused to cooperate.²

Annexed hereto as Appendix "A" is a copy of sections of the deposition transcript from the September 14, 2018 *videotaped* deposition of Kapustin in the matter of Akishev, *supra*.³ Specific sections of Kapustin's testimony are set forth in detail below on various issues, including his explanation that he had never read or reviewed any papers and affirmations submitted by him in this matter, and that he simply signed said papers which were drafted by

¹ The Commission may also recall that respondents' July 25, 2018 filing: (1) repeatedly reminds the Commission that there is a pending "Ethical Complaint" before this Commission filed by Mr. Jeffrey against the undersigned; and (2) argues that the undersigned's prior statement that Kapustin is a liar, cheat and fraud cannot be reconciled with complainants' request that the Commission should wait for Kapustin to offer some testimony that may be relevant to the pending Exceptions, and that this is a demonstration of "cognitive dissonance". - - As will be seen below, both of these issues are now relevant here against the backdrop of the instant Status Report.

² The Commission may also recall that on July 31, 2018 in complainants' filing on the Commission's docket in this matter the undersigned advised the Commission that respondents' coordinating litigation counsel, Jon Werner Esq., had threatened Mr. Kapustin, comparing him to the "deceased Mr. Berezovsky". (See, Complainants' Response To Respondents Motion For Who Knows What, dated 7/31/2018, Document #190, FMC Docket No.: 15-11, at p.4).

³ The continuation of Kapustin's deposition has not yet been scheduled. As may be relevant for the matter's discussed herein regarding the witness tampering of Kapustin, that counsel for plaintiff in the matter of Akishev, *supra*, explains that approximately one week prior to his deposition, Mr. Kapustin started receiving emails from a person called Yevgeniy Kiselev, indirectly warning him not to appear for the deposition. All of those emails have been forwarded by Plaintiffs to the FBI for investigation. (See, Cross-Claim Plaintiffs' Memorandum Of Law In Opposition To The Empire Defendants' Motion To Keep The Attorney at p. 14, Ardak Akishev, et al. v. Sergey Kapustin et al., U.S.D.C. - D.N.J. Docket No.: 1:13-cv-07152-NLH-AMD, [ECF 585] and accompanying Certification of Counsel [ECF 585-1] at ¶ 7 and Exhibits C-1 through C-5 thereof).

respondents and their counsel, knowing they contained false statements of fact (including the Kapustin affirmations cited by the ALJ in the Initial Decision) and that he followed their instructions on how to file them with the Commission. Prior to going into detail below, the undersigned wishes to note for the Commission that *until* Kapustin revealed that his actions (including his perjury under oath and interference in the orderly litigation of this matter) were orchestrated by respondents who initially attempted to bribe him and offer him money and who then later threatened his life, that complainants and their counsel were *not* incorrect in labeling Kapustin as a liar, fraud and cheat in this proceeding. Now that it has been fully revealed that Kapustin's actions were taken under duress and under the threat of physical harm to him and his family, there is absolutely nothing 'cognitively dissociative' about taking his current admissions under oath at face value.

Additionally, Kapustin's deposition transcript is cited below for the Commission's reference wherein he explains under oath that: (1) respondents' only roles with regard to the subject automobiles was to ship them and store them in Kotka, Finland; (2) respondents were never 60% owners, partners, or investors with regard to the subject automobiles at issue herein (nor were they ever owners of the cars at all) and that rather, respondents were creditors who provided Kapustin with a credit line in the total amount of \$450,120.00 with a 1.5 percent monthly interest rate; (3) respondents were aware of the identity of the complainants as being the lawful owners and consignees for the cars by virtue of Kapustin's agreement with respondent, Hitrinov that Kapustin would pay respondents \$10,000.00 for every car that respondents would release to the owner and ultimate consignee, for each of the sixty-eight (68) cars which were under respondents' physical control; (4) respondents knew in advance that the subject cars were to be released to complainants prior to the time that respondents sold the cars to third-parties; and (5) Kapustin confirms that he instructed Hitrinov / Empire to release the cars directly to the

clients (including complainants herein) and that Hitrinov promised to release the cars when complainants arrived in Kotka, Finland.

While Kapustin's deposition testimony now confirms that the "facts" proffered by respondents in support of their Motion to Dismiss complainant's complaint, and which were incorporated into the Presiding Officer's Initial Decision were false, an additional and related change in status in this matter that complainants wish to bring to the Commission's attention arises from recent developments in the matter of Akishev, *supra*. Specifically, at the October 5, 2018 Traverse Hearing in that matter, which was held before the Honorable Judge Noel Hillman in the U.S. Court for the District of New Jersey, the Court exposed respondents' counsel, Jon Werner, Esq. for having blatantly lied to the Court, and Judge Hillman is now considering holding Werner in criminal contempt summarily or referring him to the U.S. Attorney or private attorney for prosecution.

The Commission may be familiar with a few attorney affirmations authored by Werner (who has not formally entered an appearance as counsel for respondents before the Commission in this matter) but nevertheless proffered by respondents herein, as well as Mr. Jeffrey's explanation (on page 4 of his August 22, 2016 filing with the Commission [Document 96]) wherein Jeffrey identifies Werner as respondents "coordinating litigation counsel" and admits that *Werner provided Jeffrey with documents and factual guidance pertaining to this matter.*⁴ The relevant portions of the October 5, 2018 transcript are cited in detail, for the Commission's reference, below.

⁴ The Commission may also be familiar with the various email communications between Werner and Kapustin regarding the instant matter which the undersigned previously brought to the Commission's attention, such as the email wherein Werner provides Kapustin with shipping documents to review in this matter. (See, Appendix "3" to Certification of Marcus A. Nussbaum, annexed to Complainants' Response To Respondents Motion For Who Knows What, dated 7/31/2018, Document #190, FMC Docket No.: 15-11).

The Traverse Hearing of October 5, 2018 Has Now Resulted In The Court's Pending Decision to Hold Respondent's Coordinating Litigation Counsel Jon Werner In Criminal Contempt Summarily Or Refer The Matter To The U.S. Attorney Or A Private Attorney For Prosecution

Annexed hereto as Appendix "B" are the relevant sections of the transcript of the Traverse Hearing of October 5, 2018 regarding respondents' counsel in that matter (and coordinating counsel in this matter) regarding him having been exposed for lying to the Court, as well as on the issue of him now being disqualified as counsel for respondent Hitrinov.⁵ This disqualification arises out of a conflict of interest involving the possibility that Hitrinov may now be a witness in any pending criminal proceedings involving Werner.⁶ The transcript also indicates that counsel for respondent Empire United Lines Co. Inc. (to wit: Mr. Krol) was also disqualified for having sat in silence in open Court at the time that Werner made his misrepresentations to the Court. The relevant testimony is as follows:

THE COURT: I'm warning you now, sir, that I am considering holding you in criminal contempt summarily or referring it to the U.S. attorney or a private attorney for prosecution.

(See, Appendix "B" at p.138/ln. 22-25)

⁵ Complainants respectfully submit that this is not the first time Mr. Werner misrepresented information to a Court in order to allow his clients, respondents Hitrinov and Empire United Lines Co. Inc. to "escape" the expedient and fair administration of justice – this is simply the first time he got caught. Plaintiffs' counsel in the matter of Akishev, supra, has requested that Werner be investigated by the New Jersey Bar Disciplinary Committee and by the Chief Judge of the U.S. District Court for the District of New Jersey for potential ethical violations. (See, Cross-Claim Plaintiffs' Memorandum Of Law In Opposition To The Empire Defendants' Motion To Keep The Attorney at pp. 1-6, Ardak Akishev, et al. v. Sergey Kapustin et al., U.S.D.C. – D.N.J. Docket No.: 1:13-cv-07152-NLH-AMD, [ECF 585] and accompanying Certification of Counsel [ECF 585-1] at ¶¶ 13-18). Included within the pattern of numerous instances of dilatoriness, ethical violations, and bad faith towards opposing counsel and the Court which have been identified by counsel are Werner: "Potentially assisting his client to tamper with witness testimony by, *inter alia*, inducing Mr. Kapustin to testify favorably to the Empire Defendants, knowing that such testimony would be false, and inducing him to waive attorney-client privilege Mr. Kapustin had with his previous attorneys in seeking to bring malpractice suits against them." Id.

⁶ By letter to the Court of December 4, 2018 in the matter of Global Auto Inc. et al. v. Hitrinov et al. (U.S.D.C.-E.D.N.Y., 13-cv-2479 (ECF 121 on the Court's Docket), Werner advises Magistrate Judge Ramon E. Reyes, Jr. that he does not believe that this conflict of interest is waivable. Additionally, in the matter of Akishev, supra, a Declaration was recently filed by Werner's partner, Kirk M. Lyons (ECF 592 on that Court's Docket), wherein Mr. Lyons explains in paragraph "5" thereof on behalf of his law firm that "...there exists a potential conflict in L&P's continued representation of Mr. Hitrinov and EUL...".

THE COURT:

You can explain this to the FBI, Mr. Werner. I think that you are just hanging yourself higher on the tree. And by the way, that just makes my next point absolutely clear. Mr. Hitrinov is, therefore, a witness in this matter, and it seems to me you should be disqualified from representing him in this case. You are going to present him as a witness in defense of my criminal prosecution?

(See, Appendix "B" at p.139/ln. 16-22)

THE COURT:

To be clear, I have determined that in light of my decision to do one of two things, either hold Mr. Werner in criminal summary contempt in the very near term or refer it to the United States Attorney or a private attorney for prosecution, that in my view the Rules of Professional Conduct preclude him from representing Mr. Hitrinov at the same time that Mr. Hitrinov may be a witness against him in such proceedings, it seems to me that's a concurrent and inherent conflict of interest.

(See, Appendix "B" at p.144/ln. 17-25)

THE COURT:

...Mr. Krol sat there and heard Mr. Werner make a false statement to this Court and did nothing to correct him, and I am seriously considering revoking his *pro hac vice* admission to this Court for that misconduct.

(See, Appendix "B" at p.153/ln. 22-25)

MR. HITRINOV:

And if I may, I know that you made a decision, what was the such a thing those two wonderful gentlemen did to the Court that they are not any longer qualified to represent the client?

THE COURT:

They made what some might call, Mr. Hitrinov, a blatant misrepresentation, or a more colloquial expression, they lied to the Court. Candor to the Court is a paramount obligation of every officer of the Court, every attorney. A lie to this Court by a licensed attorney who has the privilege to practice law before this Court will be treated very seriously by this Court, and it was in the context of the orderly administration of a hearing, of an important matter before this Court that's been pending for years, and this hearing was delayed for months and months and months based on representations. I cannot proceed in a case in which I cannot trust the lawyer to be honest with me.

(See, Appendix "B" at p.155/ln. 17-25; p. 156/ln. 1-7)

THE COURT: Mr. Krol, when an attorney sees a misrepresentation made to the Court, has an obligation as an officer of the Court to correct the statement. He made no such effort. I'm going to revoke his *pro hac vice* application.

(See, Appendix "B" at p.158/ln. 3-7)

Kapustin Testified Under Oath That: (1) He Never Read Or Reviewed Any Papers And Affirmations Submitted By Him In This Matter; (2) He Simply Signed Said Papers Which Were Drafted By Respondents And Their Counsel And That He Followed Their Instructions To File Them With The Commission; And (3) That His Actions Were Orchestrated By Respondents Who Threatened His Life, And His Actions Were Made Under Duress And Under The Threat Of Physical Harm To Him And His Family

Q. Let me ask you the question though. Let me ask you the question. Have you read the complaint in the Federal Maritime matter?

A. No.

Q. Have you reviewed any documents which were produced in the Federal Maritime matter?

A. No.

(See, Appendix "A" at p.133/ln. 23-25; p. 134/ln. 1-7)

MS. TEMKIN: Mark this as Plaintiffs' 10.⁷
(Whereupon, an E-mail was marked as Plaintiffs' Exhibit 10 for identification as of this date by the Reporter.)

Q. Please look at the page in Russian and let me know when you have had a chance to look at it.

A. Yes, I am familiar with this already.

Q. Did you write this e-mail?

⁷ Exhibit 10 from Mr. Kapustin's deposition is annexed hereto as Appendix "C". This document was also annexed as Appendix "A" to Complainants' Motion to Supplement the Record which was filed on the docket in this matter (Document 101) on August 30, 2016 -- specifically, Exhibit "10" to the Certification of Maria Temkin, which is also referenced in paragraph "21" of her Certification. We also note that the Presiding Officer granted Complainants' Motion to Supplement the Record on March 9, 2017 (Document 151).

- A. Yes.
- Q. Are the statements made in this e-mail true as we sit here today?
- A. Yes, absolutely.
- Q. Why did you send this e-mail to Mr. Werner and Mr. Voloshen and Mr. Nusbaum, me and Anna Brown?
- A. I send this to Werner in order to demonstrate to Jon Werner and Michael Hitrinov I was not going to do what they wanted me to do. To Mr. Voloshen and you, I wanted to demonstrate the letters I sent earlier were not true contrary to what Michael Hitrinov wanted the courts to believe.
- Q: ...you wanted to show you were not going to do what Michael Hitrinov or Mr. Werner asked you to do. What did they ask you to do?
- A. To forward letters drafted by them to court.
- Q. Was there another court, was there a court, what letters are you talking about?
- A. Letters that were sent to the FMC, letters that were sent to Camden, to you talking about the letter which attached to Exhibit 8⁸ here stating that Hitrinov is such a good guy. Here I am saying I am not going to support their side against Voloshen and Anna Brown, Nusbaum. That is why, that is why I wrote this letter and it is not the first letter. If you compare pieces of letters with other letters sent from my e-mail, you will be able to see those letters were grammatically correct and prepared with certain knowledge of legal terminology. And here you can see those letters were wrote by an individual without any particular education or without any good education.
- Q. What is the date of this document this e-mail we are talking about that is marked as P10?⁹
- A. May 29, 2016 12:44 p.m.
- Q. You said at the time Michael Hitrinov wanted you to send certain documents to the FMC?
- A. Yes.
- Q. What documents, do you recollect what documents he wanted you to send?

⁸ See footnote No.: 13.

⁹ See footnote No.: 7.

- A. Yes, a letter an attachment which would contain information against the clients, against attorney Nusbaum, totally opposite.

(See, Appendix "A" at p.113/ln. 22-25; p. 114/ln. 1-22; p.115/ln.6-25; p.116/ln. 1-25; p.117/ln.2)

- Q. Mr. Kapustin, you said that Mr. Hitrinov and Mr. Werner wanted you to do something, sign some documents for the action before the Federal Maritime Commission?
- A. Yes.
- Q. What is your understanding of that case?
- A. That is a case against Hitrinov which was filed by the client through Mr. or represented by Mr. Nusbaum.
- Q. When you say client, whose client are we talking about?
- A. From whom Hitrinov stole cars.
- Q. Do we have an understanding what the clients are suing Mr. Hitrinov for?
- Q. Not the amount, but just what the claims are.
- A. That he removed the cars from the warehouse without any notification, without letting anyone know and sold those cars through third parties.
- Q. To your acknowledge does Mr. Werner represent Hitrinov and Empire United in that case?
- A. I think, yes, but I don't know for sure who represents him. He gets new attorneys from time to time. There was another new attorney who appeared here today. But Jon has been around him steadily without abandoning him. I see Jon all the time without any changes.
- Q. Do you know what documents they wanted you to sign? When I say they, I mean Mr. Hitrinov and Jon Werner?
- A. Yes, of course.
- Q. Can you tell me what those documents are? What was your understanding of the documents?
- A. In those documents, I should accept the guilt and Mr. Hitrinov is not guilty of anything.
- Q. Did you sign those documents?

A. Unfortunately I signed them and I sent them.

Q. We just went over the e-mails you sent to me, Ms. Brown and other people saying you would not do it.

A. *Unfortunately that was prior, those e-mails when they were threats against my relatives, against my parents* (Emphasis added).

(See, Appendix "A" at p.119/ln. 15-25; pp. 120-121)

Q. I am going to show you another document, which we will mark as Plaintiffs' 13.¹⁰

Q. I am going to represent to you this document was submitted by you to the Federal Maritime Commission

Q. Do you have any recollection, if this the document Mr. Hitrinov and Mr. Werner wanted you to provide for the FMC case ?

A. Yes.

Q.Do you have an understanding of what this document is? As you sit here today, do you have an understanding?

A. To be honest with you, not really.

Q.did you draft this document ?

A. No.

Q. Do you recollect the circumstances of how you received this document?

A. I received it in Finland signed it and sent it back.

Q. How was the document sent back, do you have a recollection?

A. It was forwarded to me either in the hotel, in my hotel in Finland or sent to the e-mail address of the hotel in Finland. I printed it. I signed it and I sent it back to America.

Q. Did you make any effort to get acquainted with what you were signing?

¹⁰ Exhibit 13 from Mr. Kapustin's deposition is annexed hereto as Appendix "D". This document was also annexed as Appendix "A" to Complainants' Motion to Supplement the Record which was filed on the docket in this matter (Document 101) on August 30, 2016 -- specifically, Exhibit "3" to the Certification of Maria Temkin, which is also referenced in paragraph "10" of her Certification. We again note that the Presiding Officer granted Complainants' Motion to Supplement the Record on March 9, 2017 (Document 151).

A. No. I realized this document might influence the situation of Nusbaum with the Federal Maritime Commission.

Q. Did you have a personal vendetta against Mr. Nusbaum your former client or the plaintiffs in this matter?

A. No. *It was more of Mr. Hitrinov leading me to sign this.* I was also upset with Mr. Nusbaum. There was a situation in court, that, this situation between us, but we were able to resolve it. *So it was Mr. Hitrinov who made me sign this document.* (Emphasis added)

(See, Appendix "A" at p.125/ln. 19-21; p. 126/ln. 2-4;12-17; 19-24; p. 127/ln. 10-25; p. 128/ln. 1-16)

Q. You had conversations with Mr. Hitrinov prior to signing this document about signing this document prior to signing this document?

A. Not the contents, but the goal of this document, well, file a lawsuit against Nusbaum. We will win it. You will get money. You will be able to pay off debts based on the judgment against you.

Q. Do you have a recollection if that conversation took place in person or over the phone or by any other means?

A. By phone, everything was over the phone. I was in Russia the whole year of 2016.

(See, Appendix "A" at p.130/ln. 18-25; p. 131/ln. 2-10)

Q. Okay. I want to ask about those threats. But I want you to also look at that document which appears to be your e-mail which Mr. Werner provided to the court.

A. Okay. Let's do that.

Q. Please turn to the last page of this document¹¹...Just take a look at that. Take your time. Let me know when you are ready. When you have familiarized yourself with this document and had a chance to understand what is in it. Let me ask a question. This letter seems to have been sent by you and Mr. Voloshen and others?

A. From me, right, that is correct.

¹¹ Exhibit 6 from Mr. Kapustin's deposition is annexed hereto as Appendix "E". (See, Appendix "A" at p. 62/ln. 23-25; pp. 63-66).

Q. It appears to be that way?

A. Yes. That was in 2015. When I went to Moscow for the first time. All those letters were drafted on my behalf by Mr. Hitrinov. He stated he was drafting them together with Jon Werner and they indicated where I should send them. **If I do that Mr. Hitrinov said he will stop bothering my parents. He realized my parents is my weak link.**

Q. *Someone can write a letter for you in proper form, but it has to be the truth. Look at this letter, is the information in this letter true as we sit here today?*

A. *No, it is not true. This is the truth that Mr. Hitrinov needed.*

Q. Who wrote this letter for you?

A. Hitrinov.

Q. Did Mr. Hitrinov know this, according to you, this information was false?

A. Absolutely.

Q. Did he know this information was false as you said when he provided that letter for you?

A. Absolutely. He needed this information in order to put me against the plaintiffs' side.

(See, Appendix "A" at p.67/ln. 22-25; p.68/ln. 1-24; p.69/ln. 13-23; p. 70/ln. 17-24; p. 71/ln. 1-4)

MS. TEMKIN: I am going to show you one more document and we will break for lunch soon. I will mark it as Plaintiffs' 7.¹²

Q. Take a look.

A. Yes, I am familiar with this document.

Q. It appears to be a document you submitted to the court in Camden?

A. Yes. I sent it there.

Q. I represent to you you filed you sent it to the court on February 1, 2016?

A. I don't remember the exact date but it did take place in 2015 or 2016. I did not write it. I was provided with it.

¹² Exhibit 7 from Mr. Kapustin's deposition is annexed hereto as Appendix "F".

Q. I want to direct your attention to paragraph seven, for example. I will ask you more in detail about cross claims later. But you appear to change information here saying that none of the cars which were listed in the exhibits to the cross claims were actually yours.

Q. It also says you believe you were not able to file those claims?

A. I perfectly realize that what is written here is stupid, but it was not me who wrote that. I realize perfectly that I was winning the case in New York. And by assigning that to cross claim plaintiffs they would be able to receive money. And to pay the money to the clients I deliberately signed the cross claims. At the same time I was left alone with my problem of threatened parents. I didn't have an attorney. I was on my own with that issue. So *I had to chose between the safety of my parents and the lies that I have to sign, and naturally I chose my parents.* I think, but somehow I will be able to reach, that my claims will reach the court. *That it is Mr. Hitrinov who keeps threatening and it will be established that it was Mr. Hitrinov who stole those cars, and the clients did not receive the cars or the money.*

(See, Appendix "A" at p.76/ln. 3-13, 17-25; p.79/ln. 4-25; p.80/ln. 1-10;

MR. WERNER: I have the right to ask you questions. You have been examined by Ms. Temkin and then I have the opportunity to follow up with my own questions about the matters she asked you about.

THE WITNESS: You have the right but I have the right not to answer your questions. Because I don't trust you and I don't trust your questions. **The entire period of time starting in 2014 you have been constantly lying to me and tricking me, you and your client. What you did to my parents is a huge negative point to you.**

(See, Appendix "A" at p.151/ln. 4-19)

Kapustin Testifies Under Oath That: (1) Respondents' Only Roles With Regard To The Subject Automobiles Was To Ship Them And Store Them In Kotka, Finland; (2) Respondents Were Never 60% Owners, Partners, Or Investors With Regard To The Subject Automobiles At Issue And That Rather, Respondents Were Creditors Who Provided Kapustin With A Credit Line In The Total Amount Of \$450,120.00 With A 1.5 Percent Monthly Interest Rate; (3) The Documents Drafted By Respondents And Their Counsel Were "All Lies"; (4) Respondent Hitrinov Promised Kapustin A Reward of \$175,000 If Kapustin's Filings And Intervention Would Result In Respondents Prevailing In This Matter; And (5) Kapustin Did Not Spend Any Time Translating The Complaint And Discovery In This Matter

- Q. Mr. Kapustin, at some point in March of 2016 you sent an e-mail with a document and I will mark it as Plaintiffs' Exhibit 8.¹³
- Q. I would like you to look at this e-mail and the document for the record I am showing Mr. Kapustin is the Russian version of it. Let me know when you are done.
- A. Yes, I have read it...
- Q. You say here in your cover mail this document was drafted for your signature by Mr. Hitrinov and his attorney. Do you have any knowledge about how this document was drafted?
- A. Well, I don't have any knowledge how it was drafted. It was drafted by Hitrinov. I didn't speak with Mr. Werner because he does not speak Russian. Although Mr. Hitrinov claims he does. So Mr. Hitrinov just told me just sign it and we will be off going, or off we go.
- Q. If you turn to page four and the section entitled Failure To Pay Profit Sharing, I will ask the interpreter to read paragraphs N through R for you and then I will ask a question.
- A. Yes, I understood everything.
- Q. So the question is: Was Michael Hitrinov and Empire United entitled to profit from five hundred and forty-three vehicles mentioned in this paragraph?
- A. No. And the reason I am laughing while answering this is it was Michael Hitrinov's wish to state in this letter, *Michael Hitrinov has never been an investor in my company. I had a credit line with him for a certain amount with a certain number of cars serving as collateral. For that credit line my company*

¹³ Exhibit "8" from Mr. Kapustin's deposition is annexed hereto as Appendix "G". This email and Affidavit for Judgment by Confession was previously brought to the Commission's attention in Appendix "7" and "8" to the Certification of Marcus A. Nussbaum, dated July 31, 2018 (Document No.: 190) which was filed on the docket in this matter. This document was also annexed as Appendix "A" to Complainants' Motion to Supplement the Record which was filed on the docket in this matter (Document 101) on August 30, 2016 -- specifically, Exhibit "7" and "8" to the Certification of Maria Temkin, which is also referenced in paragraph "18" of her Certification.

paid him 1.5 percent interest rate monthly. He did not participate in acquisition of cars whatsoever. He has never been entitled to any profits in the company. All those companies belong to me or were owned by me. I didn't have any partners. Every time I mentioned the word credit, he broke into a sweat and said never use this word, never say it again. I told him why not it is a credit line that is used to finance floor plan companies? (Emphasis added)

- Q. In other words, when the statement in that document that Global companies owe Empire seven hundred sixty-four thousand six hundred and eighty dollars in profit, it is false?
- A. It is a lie. It is a lie. The whole case is built on this lie.
- Q. Are you aware that Mr. Hitrinov has a claim pending against you and Global in the Eastern District of New York claiming exactly this?
- A. No. I think the amount is much bigger there...But Jon Werner and Michael fabricated this case in New York trying to indicate he was a partner in my companies in Global, but he has never been a partner in my companies.

(See, Appendix "A" at p.100/ln. 11-25; p. 105/ln. 4-17; p. 107/ln. 15-25; p. 108/ln. 1-25; p. 109/ln. 1-20)

- Q. Let's look at this document. Let's look at paragraph thirteen, and I will ask the interpreter to interpret it for you. Have you read this statement before you signed this document?¹⁴
- A. No.
- Q. As we sit here today is this statement true?
- A. No. Empire was never a partner.
- Q. Did Global and Empire have joint ownership of the inventory?
- A. No.
- Q. Did Empire have the right to liquidate the vehicles under certain conditions?
- A. No.
- Q. Let's look at paragraph twenty. I will ask the interpreter to translate that for you.

¹⁴ This document was marked and referred to previously herein as Exhibit "13" to the Kapustin deposition. See, Appendix "D" identified in footnote "10" to this Status Report.

A. That is it.

Q. Does this statement appear to be true? Was Empire a majority owner of the investment vehicles?

A. No. Empire issued a credit line. But it did not provide funds for investment into vehicles.

Q. How about you said, sorry, how about paragraph twenty-five. I will ask the interpreter to translate the first sentence for you. Have you?

A. No, I have not spent any time. I did not spend time.

(See, Appendix "A" at p.132/l.n. 10-25; p. 133/l.n. 1-2, 6-22;)

Q. Let's look at paragraph twelve of your statement. Let me know when you're done?

A. I vaguely remember that those are the clients whose cars disappeared from Empire's warehouse.

Q. As you sit here today, is it your understanding that Empire had ownership of those vehicles, at the time they disappeared, as you said the vehicles disappeared from Empire's warehouse?

A. No. Empire was not the owner of those cars. The owner of the vehicle might be only Global or if there is a client the client might have partial or full ownership of that vehicle. ***Empire only provided shipping. And the credit line was open. That was it. There was nothing else. He received interest monthly for his credit line.*** He also received a fee for freight release and also for release of cars from his warehouse. That was his part of the financial proceedings. ***He was never a partner or an owner.***

Q. Would it be fair to say that the statement in paragraph twelve, where you say: I confirm Empire invested sixty percent value into the ownership of the four vehicles at issue in this proceeding, would it be fair to say this statement is false?

A. ***They did not invest anything.*** They provided, he did not invest anything. ***He provided a credit line with a 1.5 percent interest rate.***

Q. Would it be fair to say as drafted this statement in paragraph twelve is false?

A. ***It is all lies. All this document is lies.***¹⁵

¹⁵ To be clear, Kapustin is explaining that the statements in his Affirmation filed with the Commission (and which is cited in pp. 55-58 of the Initial Decision in the section entitled "Empire's response to Complainants") are "all lies".

Q. Well, did Mr. Hitrinov offer you anything, if you, if he won the FMC case...For signing this information or making any other filing in the case he wanted you to make?

A. Money.

Q. He did offer you money?

A. Yes.

Q. How much?

A. One hundred seventy-five. He constantly offered me money.

(See, Appendix "A" at p.136/ln. 5-25; p. 137/ln. 1-22; p. 138/ln. 9-22)

Q. What was the nature of the business relationship between Global Company and Empire United Line and Mr. Hitrinov?

A. *He shipped my cars.*

Q. Did he do anything else?

A. He offered me a credit line.

Q. Was Mr. Hitrinov an investor in your business as he claims?

A. Never.

Q. Or as stated in the documents he provided for your signature?

A. Never.

Q. Can you please explain how that line of credit you are talking about worked?

A. The same as a bank's work. There was an amount allocated at 1.5 monthly interest rate. Every month at the end of the month I had to pay the interest. And I had to ship cars using his company without disturbing the balance of the credit line...All money was paid through wires to the account of Empire. That is pretty much the whole entire business I had with Empire.

Q. How much interest did you pay with Empire -- according to the agreement?

A. One point five percent per month.

(See, Appendix "A" at p.139/ln. 19-25; p. 140/ln. 3-22; p. 141/ln. 2-11)

Kapustin Testifies Under Oath That He Instructed Hitrinov / Empire To Release The Cars Directly To The Clients (Including Complainants Herein) And That Hitrinov Promised To Release The Cars When Complainants Arrived In Kotka, Finland.

Q. If you were promised the money, why didn't you discuss it?

A. He promised a lot of things to people. *He promised to release those cars to the people when they came to Kokta. However, he took them away or transported them somewhere else.*

(See, Appendix "A" at p.139/ln. 6-13;)

Q. Well, let's go back a little bit. How did that investment agreement or that agreement relationship come about? You said it was sometime in 2010; is that correct?

A. Yes, but some time ago we worked with him under a credit line as well...he said I can provide a credit line for you and you will increase your business. I was not under any pressure of any kind. But I took that credit line. I didn't have any late payments with him at all. There was nothing to basically find fault with. *But ultimately I don't know what happened to him he just stole all the cars. There were no debts nothing. Everything was paid on time.*

Q. You mean the monthly interest?

A. Of course, everything was paid. He invoiced me for the last time and everything was paid, everything was paid there was nothing due. There was no outstanding payments.

(See, Appendix "A" at p.142/ln. 13-21; p. 143/ln. 4-19)

Kapustin Testifies Under Oath That Respondents Were Aware Of The Identity Of The Complainants As Being The Lawful Owners And Consignees For The Cars By Virtue Of Kapustin's Agreement With Respondent, Hitrinov That Kapustin Would Pay Respondents \$10,000.00 For Every Car That Respondents Would Release To The Owner And Ultimate Consignee; And That Respondents Knew In Advance That The Subject Cars Were To Be Released To Complainants Prior To The Time That Respondents Sold The Cars To Third-Parties

Q. When that agreement was made, did you or Mr. Hitrinov have in mind how long that relationship will last?

A. No, there were no agreements made with regards to or arrangements made with regard to any period of time or duration. And it is not my first time I have experienced working with floor plan companies. Usually there is a time to pay. There is advance notice in case of any Changes...But in our situation there was nothing like that. The credit line was for about four hundred thousand and the cars

which were located at the warehouse were valued at over one million dollars. So there were no violations of that kind.

Q. When you say there were vehicles valued for one million dollars, what do you mean?

A. Just in Finland at Michael Hitrinov's warehouse there were my cars stored at his warehouse that were valued at over one million dollars. Also at his warehouse in New Jersey there were cars stored with a total value of over three hundred fifty thousand dollars.

Q. **Did you maintain any other floor plans** during 2010 and later when you had business relationship with Empire?

A. Of course.

Q. Do you have a recollection of who they were?

A. Yes.

Q. Can you please specify?

A. **Palisades, Next Gear, AFC Financial Program, that is enough.**

MR. WERNER: DSC.

A. Next Gear same...

Q. What was the money value that you were operating with at that time?

A. One million five hundred thousand.

Q. You mean from all lenders Combined?

A. No. One company issued that one million another issued for half a million.

(See, Appendix "A" at p.143/ln. 24-25; p. 144/ln. 1-10, 15-25; p. 145/ln. 1-25; p. 146/ln. 1-4)

Q. Was there an understanding between you, if you were not repaying timely credit line Mr. Hitrinov could just foreclose on the vehicles he had in his inventory without warning or without any judicial proceeding?

A. First of all, there was not, there was no such arrangement. Secondly, it was not even a subject for discussion. Thirdly, there were no debts. And fourth, if he asked me to pay him back, I would pay him back quickly. I offered him, I would pay him ten thousand for each car released, for example, you are releasing a car, I am paying you back ten thousand. He had sixty-eight cars. So he stole more cars than I owed him in money. It didn't really matter what was the value of the car or

what the value of the car was whether it is a sixty thousand car or a ten thousand dollar car, I offered him to pay ten thousand for each car released.

Q. You mean on top of the value of the car?

A. No. No. In order to payback the credit line, for example, the car leaves the gate ten thousand dollars, but there were cars stored in the total amount for over one million dollars.

Q. When you say released, do you mean that the car would be repaid anyway?

A. No, I didn't have to pay anything. But there a was credit line, and I told him start releasing cars to the clients.¹⁶ For each released car, I will pay you ten thousand dollars. For example, it is just deducted from the total amount of the credit line. The credit line is four hundred thousand. For example, one car is released three hundred ninety thousand, and we will be able to pay back the credit line within two or three weeks. That was my offer to him. He had everything and not to hinder that operation, not to stand in the way of that operation. I offered him that. *Two days later he stole all the cars.*

(See, Appendix "A" at p.147/ln. 3-25; p. 148/ln. 2-25)

¹⁶ On the issue of respondents' advance knowledge that the subject cars were to be released to complainants, the Commission is already familiar with Complainants Exceptions to the Initial Decision, dated May 3, 2017 (Document 173). Page "57" of the Exceptions explains that the Presiding Officer erroneously ignored evidence presented by complainants which established that Kapustin had indeed provided respondents with information identifying complainants as ultimate consignees, such as spreadsheets which identified the subject vehicles by export reference number (also listed on the "dock receipts/bills of lading" and MSC sea waybills) make, model, VIN number, and which identified the complainants by name. That information is contained in three emails from CarCont to respondents dated May 14, 2013, May 13, 2013, and May 13, 2013 respectively, with spreadsheets attached. The Commission is also familiar with Complainants' Reply To Respondents' Response To Order For Parties To Supplement The Record and Appendix filed on the docket on this matter August 9, 2016 (Document Nos.: 85 and 86). Appendix "2" to this filing contained three emails dated May 13, 2013, May 14, 2013, and May 13, 2013 respectively, with spreadsheets attached. These emails which were from Carcont to Respondent Hitrinov, contain spreadsheets listing the make, model, model, VIN# of the subject automobiles, and which identify the Complainants by name. These documents even make reference to the specific invoice numbers of the invoices provided by G Auto Sales Inc. to Complainants at the time that said vehicles were purchased by Complainants. These documents establish that in 2013, Respondents were clearly aware of who the ultimate consignees were for the vehicles, as well as G Auto having sold said vehicles to Complainants. Appendix "3" to this filing contained two spreadsheets, which identify the year, make, model, and VIN number of the subject automobiles, and which also list the container number, name of the "client" (i.e. the Complainants) together with the invoice number issued by G Auto Sales Inc.

Kapustin Admits Under Oath That the Defamatory Statements Published By Him Regarding The Undersigned Counsel, As Well As The Ad Hominem Personal Attacks Directed Towards Counsel Were Drafted By Respondent, Hitrinov

Q. Let me show you another document.

MS. TEMKIN: Mark this Plaintiffs' 12.¹⁷

Q. Just take a look at that document and let me know when you are done.

A. Yes, I finished reading it.

Q. Did you write this e-mail?

A. No, I didn't write it. Michael Hitrinov drafted it for me.

Q. This one has spelling mistakes in Russian?

A. I realize this, but this letter was prepared by Hitrinov against Nusbaum.

(See, Appendix "A" at p.122/ln. 4-15; 20- 25; p. 123/ln. 2)

Q. Were any promises made to you by Mr. Hitrinov to give you money for this?

A. Yes. He constantly offered but when I say constantly, what I mean by constantly, there was always certain amounts implied.

Q. Now, you say Mr. Hitrinov was in a constant fight with Mr. Nusbaum. Can you elaborate what that means?

A. Yes. He hated him. He hated Nusbaum. He even once told me Mr. Nusbaum had an idea of choosing the bait, of working at the city administration. And he said I will do something to ruin his plans. I will write them.....

(See, Appendix "A" at p.124/ln. 23-24; p. 125/ln. 2-14)

¹⁷ Exhibit 12 from Mr. Kapustin's deposition is annexed hereto as Appendix "H". This document was also annexed as Appendix "A" to Complainants' Motion to Supplement the Record which was filed on the docket in this matter (Document 101) on August 30, 2016 -- specifically, Exhibit "12" to the Certification of Maria Temkin, which is also referenced in paragraph "23" of her Certification.

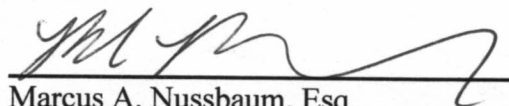
CONCLUSION

Consequently the foregoing, along with the attachments annexed hereto are respectfully submitted as same reflect a 'change in status' of this case with regard to both respondent, Hitrinov and his counsel, as well as to non-party, Kapustin so as to inform the Commission of said change in status as same may reflect upon or be determinative of the Commission's Final Decision, which is currently pending.

In closing, and as always, complainants thank the Commission for its many continuing courtesies and considerations in this case.

Dated: December 27, 2018
New York, New York

Respectfully Submitted,

A handwritten signature in dark ink, appearing to read 'M. Nussbaum', is written over a horizontal line.

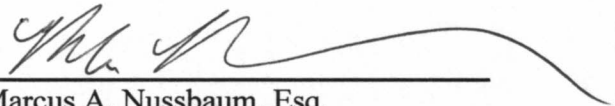
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' STATUS REPORT and APPENDIX** upon Respondents' Counsel at the following address:

Nixon Peabody LLP
Attn: Eric C. Jeffrey, Esq.
799 9th Street NW, Suite 500
Washington, DC 20001-4501

by first class mail, postage prepaid, and via email (ejeffrey@nixonpeabody.com).

A handwritten signature in dark ink, appearing to read 'M. Nussbaum', is written over a horizontal line.

Marcus A. Nussbaum, Esq.
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Attorney for Complainants
marcus.nussbaum@gmail.com

Dated: January 28, 2019 in New York, New York.